

Revenue Stamp Duty Act, 1962

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 3

Revenue Stamp Duty Act, 2019

Royal Seal and Date of Publication

2019.9.29

Amending Acts

1. Revenue Stamp Duty (First Amendment) Act, 2035 2035.7.1
2. Some Nepal Acts Relating to Finance Amendment Act, 2047 2047.8.27

Ratification and Date of Publication

3. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7
4. Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075 2075.11.19

Act No. 34 of the year 2019

Act made to provide for Revenue Stamp Duty

Preamble: Whereas it is expedient to levy revenue stamp duty on documents of transactions relating to income and to systematize the working procedure relating to such revenue stamps,

His Majesty King Mahendra Bir Bikram Shah Dev has made this Act in accordance with Article 93 of the Constitution of Nepal. 1. Short title, extent and commencement: (1) This Act may be called the "Revenue Stamp Duty Act, 2019".

(2) This Act shall extend to the whole of Nepal Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(3) This Act shall be deemed to have commenced from 2019.4.9. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Revenue stamp" means a revenue stamp approved by the Government of Nepal to be affixed to the documents mentioned in sub-section (1) of section 4.

(b) Omitted by the First Amendment.

(c) Omitted by the First Amendment.

(d) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules or orders made under this Act.

(e) "Schedule" means the Schedule to this Act. 3. Repealed by the First Amendment. 4.

Revenue stamp duty leviable: Amended by the First Amendment. (1) Revenue stamp duty shall be leviable on the following documents as mentioned in the Schedule: (a) Deed or note of a transaction, (b) Lease deed,

(c) Deed of sale, except non-institutional agricultural produce, (d) Document relating to purchase or sale of shares, debentures, or stock, (e) Bill of exchange and promissory note, (f) Non-insurance policy document, and (g) Receipt of rent paid for a house, shop, hall, hotel, or room. (2) Notwithstanding anything contained in sub-section (1), revenue stamp duty shall not be leviable on the following documents: (a) Deed which is compulsorily required to be registered, (b) Receipt of repayment of principal, interest, or kind or cash crop of a loan a deed, (c) Debentures issued by the Government of Nepal and by the Provincial Government with the consent of the Government of Nepal, (d) Cheque, draft, T.T., and (e) Such documents among those mentioned in sub-section (1) as the Government of Nepal may, by notification published in the Nepal Gazette, specify as exempt from revenue stamp duty wholly or partially. (3) Until revenue stamps are available to be affixed to the documents on which revenue stamp duty is leviable under sub-section (1), postage stamps may be affixed in lieu thereof. 5. Arrangement for sale of revenue stamps: (1) The Government of Nepal may, by notification published in the Nepal Gazette, make provision for commission to be obtained by any person who purchases revenue stamps. Amended by the Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075. (2) If revenue stamps required to be affixed under this Act are not available, or if there is a lack of suitable space on the document on which such stamps are to be affixed, it shall be deemed for the purposes of this Act that revenue stamps have been affixed if the amount payable as revenue stamp duty is deposited as revenue in the Nepal Rastra Bank or in a bank designated by the Nepal Rastra Bank for revenue collection and a voucher thereof, or the cash amount is paid to the concerned office and a receipt thereof, is attached to the document on which revenue stamps are to be affixed. Amended by the Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075. (3) If an amount is brought to be paid in lieu of revenue stamps under sub-section (2), the bank or the concerned office shall accept it and issue a receipt thereof, and if the amount is deposited in cash in the office, it shall be credited to the revenue account. 6.

Duty to affix revenue stamps: When carrying out a transaction mentioned in section 4, the person taking the document as evidence shall affix the stamp and have the person giving the document sign and seal by writing the date covering both the document and the revenue stamp as applicable in the Schedule, and then take the document. 7. Document without revenue stamp affixed not to have legal validity: Amended by the First Amendment. (1) If revenue stamp duty is leviable on a document under this Act and a revenue stamp is not affixed, such document shall not be given legal validity. (2) Notwithstanding anything contained in sub-section (1), if any person has not affixed a revenue stamp or has affixed a revenue stamp of a lesser amount than the rate mentioned in the Schedule, such a document may be given legal validity by requiring that person to affix five times the amount of stamp that should have been affixed in the case of complete non-affixation, or five times the deficient amount in the case of short affixation, or by recovering that amount. 7A. Determination of value of kind for the purpose of revenue stamp duty: Added by the First Amendment. For the purpose of revenue stamp duty, in determining the value of kind, the value shall be calculated at the prevailing local market rate. 8. Power to make rules: The Government of Nepal may make rules for the purpose of implementing the objectives of this Act. 9. Repealed by the Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075. Schedule Amended by the First Amendment. Rate of Revenue Stamp Duty Documents on which revenue stamp is leviable Stated Value Duty Up to Rs. 100 Nil From Rs. 101 to 250 Rs. 1.? From Rs. 251 to 500 Rs. 2.? From Rs. 501 to 750 Rs. 3.? From Rs. 751 to 1000 Rs. 4.? For every thousand above Rs. 1000 Rs. 4.? Explanation: Duty shall be levied according to the Schedule only on a deed or note of a household transaction of an amount exceeding one thousand rupees.